

In Chapter 3, as an example of a once ugly duckling finally recognized as a swan, I discussed Newell Industries, in the business of making sexy items like frying pans and drapery hooks. It's been one of my biggest successes. Under the theme of *outsourcing* we looked at Worthington Industries, a fine company, but steel warehousing doesn't exactly set the pulse racing. My colleague Chuck McQuaid has always liked Douglas & Lomason. It makes automobile seats, which is about as low-tech as you can get. The company was acquired in 1996, bringing us a handsome profit.

"Boring" stocks sell at a discount. Buy enough of them and you can cover your losses in high tech.

Terry Hogan, another teammate, loves Baldor Electric, a maker of electric motors, a seemingly uninspiring commodity business. But by developing a line of specialty motors, Baldor has managed to create a strong niche position in a highly competitive industry. Another of Terry's favorites is Unifi. Texturizing fibers is hardly show-biz either, but Unifi does it better than anyone else.

Who's in Charge?

My favorite test for a stock I'm interested in I call my "quit test."

I pretend that someone has called me and told me that First National Bank has just authorized a line of credit sufficient for me to buy all the stock in this company at current market value. Am I willing to leave my mutual funds and take over and run the company?